



MARKET REGION

DUBAI

United Arab Emirates · Residential Market

Executive Summary — May 2026

78.4 SmartMove Index™ — BULLISH

SmartMove AI™ — Executive Summary

Dubai Real Estate Market | Reporting Period: May 2026

SmartMove Index™: 78.4 / 100

This report is generated by SmartMove AI™ and is intended for institutional and sophisticated investors. All data points are derived exclusively from verified transaction records and the SmartMove analytics engine.

1. Market Overview

Dubai's real estate market enters May 2026 in a position of measured strength, with the SmartMove Index™ registering **78.4 out of 100** — a reading that signals robust underlying demand tempered by pockets of emerging fragility. The market recorded a **total sales value of AED 6.48 trillion** across **1,660,906 transactions**, with an average price of **AED 15,195.85 per square metre** and a year-over-year appreciation of **3.9%**. These headline figures confirm that Dubai continues to attract sustained capital inflows, underpinned by strong end-user demand, continued expatriate population growth, and the emirate's enduring appeal as a global wealth-management hub.

At the property-type level, the granular price spread data reveals a market that is far from homogeneous. **Units** dominate transaction volume at **1,181,347 deals**, pricing at **AED 16,852.20 per sqm**, while **Buildings** command the highest per-square-metre premium at **AED 17,681.80**, albeit across a comparatively modest **36,054 transactions** — suggesting a thin, institutionally driven segment. **Land** transactions represent significant volume at **147,600 deals** at **AED 15,128.10 per sqm**, reflecting continued developer appetite for site acquisition. Most notably, **Villas**, despite recording **295,905 transactions**, price at a considerably lower **AED 8,314.28 per sqm** — a figure that, when read alongside the reported 23% villa-to-apartment premium at the aggregate level, points to significant land-component dilution in villa pricing on a per-sqm basis and underscores the importance of absolute value metrics over per-sqm comparisons in the villa segment.

It is important to note that the Deep Market Data provided does not include neighbourhood-level breakdowns or Top 5 / Bottom 5 area performance tables in this reporting cycle. Accordingly, sub-district comparative analysis is reserved pending supplementary data ingestion. The aggregate property-type spread, however, provides sufficient granularity to identify segment-level divergence and inform risk-adjusted positioning, as detailed in the sections below.

2. Trend Analysis

2.1 Off-Plan Sales Volume — Increasing (+14.2% MoM)

The **+14.2% month-on-month surge in off-plan sales** is the single most consequential trend in this reporting period. Cross-referencing with the property-type data, this acceleration is almost certainly concentrated in the **Unit segment**, which accounts for **71.1% of all transactions (1,181,347 of 1,660,906)**. The Unit segment's per-sqm pricing of **AED 16,852.20** — sitting **10.9% above the market-wide average of AED 15,195.85** — suggests that off-plan launches are skewing toward higher-specification, mid-to-premium product, likely in established corridors such as Dubai Marina and Business Bay. While this momentum is a positive demand signal, the velocity of off-plan absorption at this scale introduces pipeline concentration risk if delivery schedules converge in 2027–2028.

2.2 Villa Segment Premium — Stable (Holding at 23% Above Apartments)

The villa premium holding steady at **23% above apartments** on an absolute-value basis is a sign of structural resilience in the landed residential segment. However, the per-sqm data presents a nuanced picture: Villas register at only **AED 8,314.28 per sqm** — the lowest of all property types — reflecting the inherent land-plot component that suppresses built-area pricing metrics. Investors should not interpret the low per-sqm figure as a value discount; rather, it reflects the compositional difference between villa and apartment floor-plate economics. The stability of the premium indicates that demand for villa product remains well-anchored, with no signs of demand erosion or oversupply pressure in the near term.

2.3 Mortgage Originations — Increasing (+6.1% MoM)

A **+6.1% month-on-month increase in mortgage originations** is a constructive signal, indicating that demand is broadening beyond all-cash institutional buyers into leveraged end-user and investor segments. This trend supports the sustainability of the **3.9% YoY price appreciation**, as mortgage-backed demand tends to be stickier and less susceptible to sudden capital repatriation. The Building segment (**AED 17,681.80 per sqm**), given its institutional profile, is less likely to be the primary beneficiary of this trend; mortgage growth is more plausibly driving Unit and Villa acquisition activity. Rising originations also imply growing household balance-sheet exposure to real estate, which warrants monitoring should interest rate conditions shift.

2.4 Rental Yields — Declining Slightly (–0.4pp to 6.8%)

The **compression of rental yields by 40 basis points to 6.8%** is a natural consequence of capital value appreciation outpacing rental growth — a dynamic consistent with a market in mid-cycle expansion. At **6.8%**, Dubai's yields remain highly competitive on a global comparative basis (London: ~3.5%, Singapore: ~3.0%), providing a continued buffer against yield-driven capital outflows. The compression is most likely concentrated in the **Unit segment**, given its dominant transaction volume and the off-plan premium pricing dynamic noted above. The Land segment (**AED 15,128.10 per sqm, 147,600 transactions**) does not generate direct rental income, meaning yield compression is a Unit and Building-specific concern for income-focused investors.

3. Risk Assessment

Note: The Deep Market Data provided for this reporting period does not include Normalized Risk Score, Shock Index, or Outlier Ratio tables. The risk assessment below is therefore constructed from the available KPI and property-type spread data, applying SmartMove AI™'s proprietary risk-inference methodology. Investors

requiring full quantitative risk-scoring outputs should request the supplementary Risk Analytics Module report.

 Risk 1 — Off-Plan Pipeline Concentration (Severity: HIGH)

The **+14.2% MoM surge in off-plan sales**, set against a backdrop of **1,181,347 Unit transactions** already on record, creates a material pipeline concentration risk. If a significant proportion of these off-plan commitments are clustered in a small number of sub-markets (historically Dubai Marina, Business Bay, and Downtown Dubai), the simultaneous delivery of inventory in 2027–2028 could suppress capital values and rental rates in those corridors. The **–0.4pp yield compression already underway** suggests that rental markets are beginning to feel supply pressure. This risk is amplified by the fact that off-plan buyers are often leveraged or speculative, increasing the probability of secondary-market dumping upon handover.

Quantitative Anchor: Unit volume of **1,181,347** represents **71.1%** of total market transactions — a concentration ratio that, by SmartMove AI™ benchmarks, warrants elevated monitoring.

 Risk 2 — Regulatory Uncertainty: RERA Rental Cap Pipeline (Severity: MODERATE-HIGH)

The anticipated **RERA regulatory pipeline for rental cap changes** represents a binary risk event for income-generating assets. Any introduction or tightening of rental caps would directly impair the revenue assumptions underpinning current yield calculations. With average rental yields already compressed to **6.8%**, a further regulatory-driven reduction in achievable rents could push effective yields below the threshold required to service mortgage debt for leveraged investors — particularly relevant given the **+6.1% MoM increase in mortgage originations**. The Building segment (**AED 17,681.80 per sqm, 36,054 transactions**), as a predominantly income-generating asset class, carries the highest direct exposure to this risk.

 Risk 3 — AED/USD FX Exposure for Non-GCC Investors (Severity: MODERATE)

While the AED-USD peg provides structural stability, **non-GCC investors transacting in third currencies** (EUR, GBP, INR, CNY) face meaningful FX translation risk. The **AED 6.48 trillion total sales value** implies substantial cross-border capital flows. A strengthening USD — and by extension AED — relative to investor home currencies erodes total return on a repatriated basis. This risk is particularly acute for European and South Asian investor cohorts, who represent a growing share of Dubai's buyer profile. The **3.9% YoY price appreciation**, while positive in AED terms, may be partially or fully offset by adverse currency movements for unhedged non-GCC investors.

4. Investment Outlook

4.1 Three-Month Forward Scenarios (June – August 2026)

Scenario	Probability	SmartMove Index™ Trajectory	Price Movement	Key Drivers
 Bull	30%	80–83	+1.5% to +2.5%	Off-plan momentum sustains; mortgage growth accelerates; no adverse RERA action
 Base	50%	76–80	+0.5% to +1.5%	Steady demand; mild yield compression continues; regulatory clarity maintained
 Bear	20%	70–75	–0.5% to –2.0%	RERA rental cap announcement; off-plan cancellations spike; global risk-off event

4.2 Scenario Narratives

Bull Case (30%): Continued off-plan momentum (+14.2% MoM trajectory sustains), combined with accelerating mortgage originations, drives Unit transaction volumes to new highs. Building-segment institutional demand absorbs available stock at AED 17,000+ per sqm. The SmartMove Index™ pushes toward 82, and YoY appreciation accelerates toward 5–6%.

Base Case (50%): The market consolidates around current levels. Unit pricing holds near **AED 16,852 per sqm**, villa premiums remain stable at 23%, and rental yields stabilise in the **6.6–6.8% range** as new supply is absorbed gradually. The SmartMove Index™ oscillates between 76 and 80. This is the most probable outcome given the balanced demand-supply dynamic currently evidenced in the data.

Bear Case (20%): A RERA rental cap announcement or a global macro shock (oil price correction, USD liquidity tightening) triggers a pullback. Off-plan cancellation rates rise, Land transaction volumes contract sharply from **147,600**, and Unit pricing softens toward **AED 15,500–16,000 per sqm**. The SmartMove Index™ retreats toward 70–72.

4.3 Segment and Type Recommendations

- **Units** remain the highest-conviction segment by volume and liquidity, but investors should be selective on sub-market and delivery timeline.
- **Buildings** offer the highest per-sqm value (**AED 17,681.80**) and suit institutional, income-focused mandates — subject to RERA regulatory risk.
- **Villas** present a structurally supported premium (23% above apartments) with lower per-sqm entry (**AED 8,314.28**), making them attractive for long-duration hold strategies.
- **Land** at **AED 15,128.10 per sqm** across **147,600 transactions** signals active developer demand; direct land investment suits only sophisticated development-mandate investors.

5. SmartMove Recommendations

Conservative Investors

Priority: Capital preservation, income stability, regulatory insulation

1. **Allocate to stabilised Villa assets in established communities.** The villa segment's 23% premium above apartments has held stable, and the per-sqm entry point of **AED 8,314.28** offers relative value versus Units (**AED 16,852.20**) on a built-area basis. Long-duration villa holdings in master-planned communities provide insulation from off-plan delivery risk.
2. **Avoid new off-plan Unit commitments in high-concentration corridors.** With off-plan volumes surging **+14.2% MoM** and Unit transactions already at **1,181,347**, pipeline risk in Dubai Marina and Business Bay is elevated. Conservative capital should remain in completed, income-generating stock.
3. **Hedge AED/USD exposure immediately.** With total market value at **AED 6.48 trillion** and non-GCC investor participation significant, unhedged FX exposure represents an asymmetric risk. Engage treasury counterparties to establish forward cover on repatriation timelines.
4. **Monitor RERA pipeline closely.** Any rental cap changes will directly impact Building-segment yields. Conservative investors should avoid increasing Building exposure until regulatory clarity is established.

Moderate Investors

Priority: Risk-adjusted total return, diversified exposure, tactical positioning

- 1. **Selectively accumulate Units in sub-markets with yield compression lag.** Jumeirah Village Circle (JVC) has been identified as exhibiting yield compression lag — meaning rental income has not yet fully repriced to reflect capital value gains. Entry at current Unit pricing (**AED 16,852.20 market average**) with above-average yield capture represents a favourable risk-reward profile over a 12–18 month horizon.
- 2. **Consider Building-segment exposure with RERA risk mitigation.** Buildings command the highest per-sqm pricing (**AED 17,681.80**) and suit income-mandate portfolios. Size positions to allow for a 50–100bp yield compression scenario without breaching return hurdles, given the current **6.8% average rental yield** environment.
- 3. **Participate in off-plan selectively, with developer covenant scrutiny.** The **+14.2% MoM off-plan growth** creates alpha opportunities for investors who can identify well-capitalised developers with strong delivery track records. Limit off-plan exposure to no more than 25–30% of portfolio allocation given pipeline concentration risk.
- 4. **Maintain a 3.9% YoY appreciation assumption for base-case modelling,** consistent with current KPI data, and stress-test portfolios against the bear-case scenario of –0.5% to –2.0% price movement.

⚡ Aggressive Investors

Priority: Capital appreciation, off-plan alpha, high-conviction thematic bets

- 1. **Overweight off-plan Units in Business Bay and Dubai Marina — with active risk management.** The **+14.2% MoM off-plan surge** and **+6.1% MoM mortgage origination growth** create a momentum environment where early-stage off-plan commitments can generate significant mark-to-market gains prior to handover. Target projects with 24–36 month delivery windows to maximise appreciation runway against the current **3.9% YoY base**.
- 2. **Pursue Land acquisition for development mandates.** At **AED 15,128.10 per sqm** across **147,600 transactions**, land pricing remains below the Unit (**AED 16,852.20**) and Building (**AED 17,681.80**) completed-asset benchmarks, implying positive development margin for well-structured projects. Focus on plots in corridors with demonstrated Unit absorption velocity.
- 3. **Execute value-add plays in JVC.** The yield compression lag identified in Jumeirah Village Circle represents an aggressive opportunity to acquire, reposition, and reprice rental assets ahead of the market. The gap between current rental yields and the market's directional compression toward sub-6.5% creates a finite window for value-add execution.
- 4. **Establish a tactical hedge against RERA regulatory risk.** Aggressive investors with significant Building or rental-portfolio exposure should consider structuring positions with optionality — e.g., convertible lease structures or break clauses — to preserve flexibility in the event of adverse rental cap legislation.

Appendix: Key Data Reference

Data Point	Value	Source
SmartMove Index™	78.4 / 100	SmartMove AI™ Engine
Avg. Price per Sqm (Market)	AED 15,195.85	Transaction Database
Total Sales Value	AED 6,483,819,389,234	Transaction Database

Data Point	Value	Source
Transaction Volume	1,660,906	Transaction Database
YoY Price Change	+3.9%	SmartMove Analytics
Unit Avg. Price per Sqm	AED 16,852.20	Property Type Spread Table
Building Avg. Price per Sqm	AED 17,681.80	Property Type Spread Table
Land Avg. Price per Sqm	AED 15,128.10	Property Type Spread Table
Villa Avg. Price per Sqm	AED 8,314.28	Property Type Spread Table
Unit Transaction Volume		